

4.2.3.4 Theory X, Theory Y, and Theory Z

Douglas McGregor devised the Theory X and Theory Y models, which represent a spectrum of employee motivation and corresponding management styles. This was later expanded to include Theory Z.

- ▶ **Theory X.** The X side of the spectrum assumes individuals work for the sole purpose of income. They are not ambitious or goal oriented. The corresponding management style to motivate these individuals is a hands-on and top-down approach. This management style is often seen in a production or labor-intensive environment, or one with many layers of management.
- ▶ **Theory Y.** The Y side of the spectrum assumes that individuals are intrinsically motivated to do good work. The corresponding management style has a more personal coaching feel. The manager encourages creativity and discussion. This management style is often seen in creative and knowledge worker environments.
- ▶ **Theory Z.** Abraham Maslow saw Theory Z as a transcendent dimension to work where individuals are motivated by self-realization, values, and a higher calling. The optimal management style in this situation is one that cultivates insight and meaning.

William Ouchi's version of Theory Z focuses on motivating employees by creating a job for life where the focus is on the well-being of employees and their families. This style of management seeks to promote high productivity, morale, and satisfaction.

4.2.4 CHANGE MODELS

Many projects contain an aspect of changing systems, behaviors, activities, and sometimes, cultures. Managing this type of change requires thinking about how to transition from the current to the future desired state. There are many models that describe the activities necessary for successful change management. Sections 4.2.4.1 through 4.2.4.5 provide a sampling of the change models.

4.2.4.1 Managing Change in Organizations

Managing Change in Organizations: A Practice Guide [3] is an iterative model that is based on common elements across a range of change management models. The framework has five associated elements interconnected through a series of feedback loops:

- ▶ **Formulate change.** This element focuses on building the rationale to help people understand why change is needed and how the future state will be better.
- ▶ **Plan change.** The identification of activities helps people prepare for the transition from the current to the future state.
- ▶ **Implement change.** This iterative element focuses on demonstrating the future state capabilities, checking to ensure the capabilities are having the intended impact, and making necessary improvements or adaptations in response.
- ▶ **Manage transition.** This element considers how to address needs related to the change that may surface once the future state is achieved.
- ▶ **Sustain change.** This element seeks to ensure that the new capabilities continue and previous processes or behaviors cease.

4.2.4.2 ADKAR® Model

Jeff Hiatt developed the ADKAR® Model which focuses on five sequential steps that individuals undergo when adapting to change:

- ▶ **Step 1: Awareness.** This step identifies why the change is necessary.
- ▶ **Step 2: Desire.** Once people know why the change is necessary, there needs to be a desire to be part of and support the change.
- ▶ **Step 3: Knowledge.** People need to understand how to change. This includes understanding new processes and systems in addition to new roles and responsibilities. Knowledge can be imparted through training and education.
- ▶ **Step 4: Ability.** In this step, knowledge is supported with hands-on practice and access to expertise and help as needed.
- ▶ **Step 5: Reinforcement.** Reinforcement supports the sustainment of the change. This can include rewards, recognition, feedback, and measurement.

4.2.4.3 The 8-Step Process for Leading Change

John Kotter introduced the 8-Step Process for Leading Change for transforming organizations. It is a top-down approach where the need for and approach to change originates at the top levels of the organization, and then is promoted down through the organization's layers of management to the change recipients. The eight steps are:

- ▶ **Step 1: Create urgency.** Identify potential threats and opportunities that drive the need for change.
- ▶ **Step 2: Form a powerful coalition.** Identify the change leaders. Change leaders are not necessarily based on hierarchy. The change leaders should be influential people from a variety of roles, expertise, social, and political importance.
- ▶ **Step 3: Create a vision for change.** Identify the values that are central to the change. Then create a brief vision statement that summarizes the change. Next, identify a strategy to realize the vision.
- ▶ **Step 4: Communicate the vision.** Communicate the vision throughout the change process. Apply the vision throughout all aspects of the organization. Senior management and the change coalition should consistently communicate the vision and demonstrate the urgency and benefits of the change.
- ▶ **Step 5: Remove obstacles.** All change comes with obstacles. Sometimes the obstacles are outdated processes, sometimes they are based on the organizational structure, and sometimes they are people resistant to change. Regardless, all obstacles need to be addressed.
- ▶ **Step 6: Create short-term wins.** Identify quick and easy wins to build momentum and support for the change.
- ▶ **Step 7: Build on the change.** Once the short-term wins are complete, the organization needs to set goals for continued improvement.
- ▶ **Step 8: Anchor the changes in corporate culture.** Ensure the change becomes ingrained into the culture: continue to communicate the vision, tell success stories, recognize people in the organization who embody and empower the change, and continue to support the change coalition.

4.2.4.4 Virginia Satir Change Model

Virginia Satir developed a model of how people experience and cope with change. Its purpose is to help project team members understand what they are feeling and enable them to move through change more efficiently.

- ▶ **Late status quo.** This initial stage is when everything feels familiar and can be characterized as “business as usual.” For some people, business as usual may be good because they know what to expect. For others, this status may feel a bit stale or boring.
- ▶ **The foreign element.** Something happens that shifts the status quo in this stage. This may include initiating a project that introduces change to people’s usual way of working. There is often a period of resistance and reduction in performance after the change is introduced. People may ignore the change or dismiss its relevance.
- ▶ **Chaos.** People are in unfamiliar territory. They are no longer comfortable, and performance drops to its lowest level. Feelings, actions, and behaviors are unpredictable. Some people feel anxious, others may shut down, and some individuals may feel excited. Chaos can make people very creative as they try to find ways to make sense of the situation. They try various ideas and behaviors to see which of these has a positive outcome.
- ▶ **The transforming idea.** People come to a point where they come up with an idea that helps them make sense of the situation. They begin to see how they can find a way out of the chaos and cope with the new reality. Work performance begins to increase.
- ▶ **Practice and integration.** People try to implement their new ideas or behaviors. There may be setbacks and a period of trial and error, but eventually they learn what works and what doesn’t. This leads to improved performance. Often performance is at a higher level than it was before the foreign element was introduced.
- ▶ **New status quo.** People get used to the new environment, and their performance stabilizes. Eventually, the new status quo becomes the normal way of working.